

Business Loan Application Policy Manual - SBA Guidelines

1. Minimum Loan Amount

All SBA loan applications must request a minimum of \$5,000. Loan amounts of zero or below indicate a data entry error and the application will be returned for correction. The maximum SBA 7(a) loan amount is \$5 million. SBA Express loans are capped at \$500,000. Loan purpose must align with the requested loan amount - disproportionate amounts relative to stated purpose will trigger additional underwriting review.

2. Income Verification Requirements

Net income may not exceed gross revenue on any submitted financial statement. A net income figure greater than gross revenue indicates an error in the financial statements and the application will be suspended for correction. Applicants must provide two years of business tax returns and two years of personal tax returns. Financial statements must be prepared by a CPA or certified financial officer for loan amounts exceeding \$250,000. Inconsistent income data triggers mandatory review.

3. Signature Requirements

The primary applicant and all co-applicants with 20% or more ownership must sign the application. Missing signatures result in immediate application suspension. Electronic signatures are accepted under E-SIGN Act compliance. Personal guarantee signature is required from all owners with 20% or more equity stake. Applications submitted without all required signatures will not be processed until complete.

4. Required Documentation

Every loan application must include: applicant legal name, tax identification number (EIN or SSN), requested loan amount, and stated loan purpose. Business name is required for all commercial applications. Missing mandatory fields will result in application return with a written deficiency notice. Applicants have 30 days to cure deficiencies before the application is closed.

5. Tax ID Requirements

All applications must include a valid Employer Identification Number (EIN) formatted as XX-XXXXXXX, or a Social Security Number (SSN) formatted as XXX-XX-XXXX for sole proprietors. Tax IDs are verified against IRS records before loan approval. Mismatched tax IDs result in application suspension pending verification. New businesses without an EIN must apply for one before submitting a loan application.

6. Loan Purpose Eligibility

Eligible loan purposes include: working capital, business acquisition, equipment purchase, real estate purchase or refinance, construction, leasehold improvements, and debt refinancing (with restrictions). Ineligible purposes include: passive investment, lending, life insurance purchase, repaying delinquent taxes, and any illegal activity. Loan purpose must be documented with supporting business plan or purchase agreements.